

Amara Raja Energy and Mobility

BSE CODE-500008

LTP:-INR 1324.90

Mkt Cap- 25.15 K Crores

52 Week-(High-INR 1714, Low-INR 690)



About The Company

Amara Raja Energy and Mobility (ARE&M), the Flagship company of the **Amara Raja Group**, is the Technological leader and one of the largest Manufacturers of lead-acid batteries for industrial and automotive applications in India's storage battery industry. A leading player in the Indian battery industry, known for the popular **Amaron Brand**, the largest selling aftermarket automotive battery brand in the country. Pioneers in manufacturing the **Valve Regulated Lead Acid (VRLA)** Batteries in India, ARE&M continue to be at the forefront of the India's energy and mobility revolution, offering lithium-ion cell and battery pack solutions and chargers for electric vehicles and beyond.

Industry Structure and Attractiveness

India is fast emerging as a preferred manufacturing hub, catering to the global demand for manufactured goods and the **China+1** strategy to global OEM's to secure their supply chains is working in favour of India. Notwithstanding a volatile global microeconomic environment, the outlook for the Indian Economy remains optimistic. Exports are projected to reach USD 776.68 Billion in FY24, marginally higher than **USD 776.40 Billion** Achieved in FY23. Strong Fundamentals such as Political Stability, **Enhanced Government CAPEX**, Private CAPEX, Deleveraged Balance Sheets and a growing Credit Demand support a very resilient growth story ahead.

Despite Concerns over economic conditions, the battery market size is expected to reach **USD 15.65 Billion** by 2029, growing at a **CAGR of 16.80 %** during the forecast period (2024-2029). The Indian Automotive Industry, valued at **US\$222 Billion** and contributing 8% to the country's exports is expected to grow to **US\$300 Billion** by 2030, Currently constituting 7.1% of India's GDP. The Make-in-India initiative aims to bolster domestic manufacturing capabilities, including the INR 20 Lakh Crore Special Economic Package. The Production-Linked Incentive (PLI) Scheme, with an outlay of **\$3.5 Billion**, offering up to 18% financial incentives to boost advanced automotive technology manufacturing domestically. India's Data Centre market has witnessed significant growth, valued at **US\$4.35 Billion** in 2021, projected to reach **US\$ 10.09 Billion** in 2027.

Competitive Intensity and Advantage

At Amara Raja, the Industrial Battery Division proudly serves a diverse range of sectors including UPS, Telecom, Railways and Specialty Batteries. Renowned for their flagship products such as PowerStack, Amaron Quanta, Amaron Volt, Amaron Sleek, Amaron Brute and Amaron Solar, they maintain a dominant presence in several industrial segments boasting a **35% market share** in overall battery segment. Being Pioneers in the **VRLA battery technology** in India, They are the leading exporters of VRLA Batteries from India. They are the largest market share holder in the Indian Telecom Industry battery Segment and have the Highest Installed Capacity in the Indian Data Centre Battery Segment, Contributing to significant Competitive Advantage. Furthermore, they are the largest player in the automotive aftermarket battery segment in India offering state of the art **AGM** motorcycle and car batteries in India.

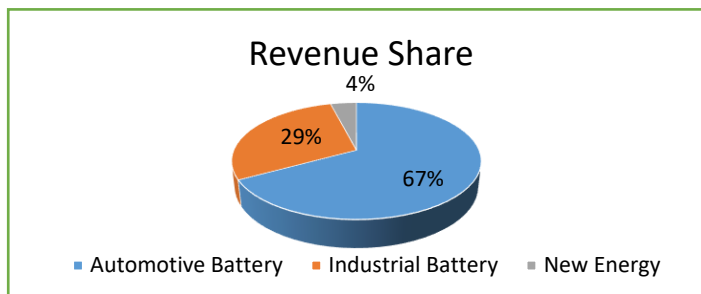
The Demand for lower capacity batteries is expected to increase in FY25 due to advancements in equipment efficiency and load handling capabilities. Managing additional capital expenditure (CAPEX) associated with Lithium Ion battery Upgrades, utilising Lead Acid Batteries for **70%** of New Deployments and Upgrades, and **50%** of Replacements, converting present CAPEX to Cash Flows.

Business Model

The Overall Business can be broken into 3 Contributors:-

The **Automotive Battery Business**(Amaron, PowerZone, ELITO) , The **Industrial Battery Business** (PowerStack, Amaron Quanta, Amaron Sleek, Amaron Brute, Amaron Volt) and the **New Energy Business**(DC Fast Charger, Portable EV Charger, 2 and 3 Wheeler Battery Pack).

Business Arm	Revenue Share
Automotive Battery	67%
Industrial Battery	29%
New Energy	4%



Their Venture into EV Charging Solutions and Energy Storage Systems (ESS) have seen substantial growth, with the battery pack and charging solution businesses surpassing **INR 500 Crores** in FY24 and Projected to reach close to **INR 1000 Crores** by next financial year. They are set to launch 100% Indian Built portable EV chargers for two wheelers. The market for EV's and Related Technologies is in its early stages but shows promising growth. The two Wheeler market penetration currently stands at **5%** and is poised for significant expansion, with expected penetration exceeding **40%** in the Indian Market by 2030.

Financial Analysis

Advanced Ratio Analysis- Amara Raja Energy and Mobility Ltd							
Year	Mar-19	Mar-20	Mar-21	Mar-22	Mar-23		
Liquidity						Trend	Mean
Current	2.442	2.017	2.122	1.849	2.247		2.136
Quick	1.266	0.980	1.040	0.668	1.123		1.015
Cash	0.080	0.077	0.132	0.035	0.068		0.078
Solvency							
D/E	4.9%	5.4%	5.1%	6.0%	5.2%		5.32%
D/C	4.6%	5.2%	4.9%	5.7%	4.9%		5.05%
ICR	106.09	69.96	83.94	46.68	43.92		70.12
D/A	3.6%	4.0%	3.7%	4.3%	3.9%		3.89%
Margins							
Gross	33.3%	42.1%	44.4%	33.7%	41.9%		39.08%
EBITDA	14.6%	16.7%	16.6%	12.5%	13.3%		14.77%
EBIT	10.8%	12.4%	12.2%	8.0%	9.3%		10.53%
Net	7.1%	9.6%	8.9%	5.8%	6.6%		7.61%
Profitability							
ROE	14.5%	18.1%	15.4%	11.2%	13.1%		14.46%
ROA	10.8%	13.2%	11.2%	8.0%	9.8%		10.59%
ROIC	19.3%	24.0%	20.5%	17.7%	20.7%		20.42%
ROCE	28.5%	29.9%	27.2%	22.8%	25.1%		26.71%
Turnover							
Asset	1.52	1.38	1.25	1.38	1.48		1.40
Receivables	8.90	10.84	9.19	11.07	13.44		10.69
Inventory	4.21	3.45	2.93	3.55	4.37		3.70

Return on Equity-Dupont Analysis

	Mar-19	Mar-20	Mar-21	Mar-22	Mar-23
Net Profit	483.49	660.82	646.81	511.25	694.41
Sales	6839.88	6894.51	7237.04	8773.8	10475.24
Total Assets	4495.94	5000.59	5797.08	6375.85	7099.08
Average Shareholder's Equity	3335.32	3655.61	4210.26	4551.39	5297.84
Net Margin---(A)	7.07%	9.58%	8.94%	5.83%	6.63%
Asset Turnover Ratio---(B)	1.521	1.379	1.248	1.376	1.476
Financial Leverage (Equity Multiplier)---©	1.348	1.368	1.377	1.401	1.340
Return On Equity---(A*B*C)	14.50%	18.08%	15.36%	11.23%	13.11%

Cash Conversion Cycle

	Mar-19	Mar-20	Mar-21	Mar-22	Mar-23
Inventory	1,061.42	1,142.69	1,438.24	1,803.78	1,643.42
Cost Of Goods Sold (COGS)	4,644.10	4,447.13	4,744.68	6,121.33	7,186.69
Days Inventory Outstanding (DIO)	83.42	93.79	110.64	107.56	83.47

Accounts Receivables	768.58	636.28	787.46	792.56	779.67
Sales	6,839.88	6,894.51	7,237.04	8,773.80	10,475.24
Days Sales Outstanding (DSO)	41.01	33.69	39.72	32.97	27.17

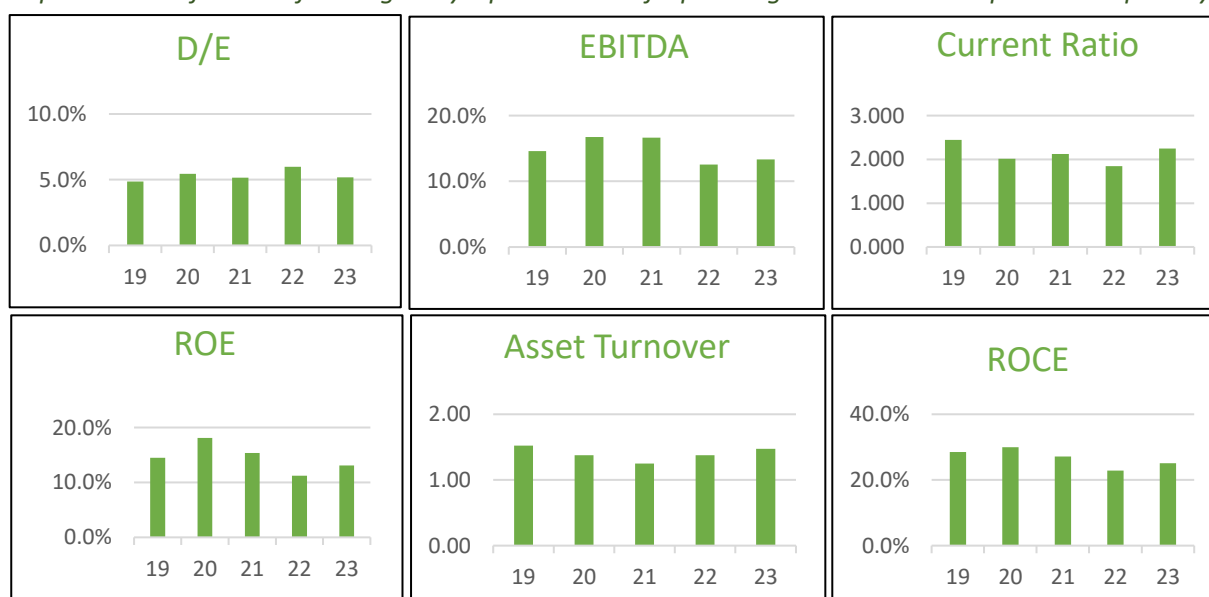
Accounts Payable	510.44	614.89	746.47	806.45	750.75
Sales	6,839.88	6,894.51	7,237.04	8,773.80	10,475.24
Days Payable Outstanding (DPO)	27.24	32.55	37.65	33.55	26.16

Cash Conversion Cycle (CCC)	97.20	94.92	112.71	106.98	84.47
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Financial Summary

Notes:-

Revamped Liquidity in FY 23 after a slight Dip in FY22 as suggested by Current, Quick and Cash Ratios. Return On Equity is fuelled by improving Asset Utilisation Efficiency and decreasing Net Profit Margins. Deteriorating ICR along with stable debt levels & improved EBIT Margins indicate higher interest expense. Enhanced Cash Conversion Rates portrayed by decreasing CCC Values indicate healthy cash flows. Improvement of Net Profit Margins by Optimisation of Operating and Overhead Expenses is a priority.



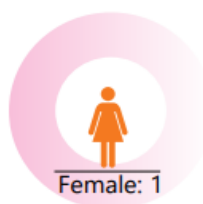
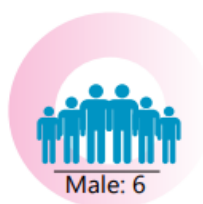
Discounted Cash Flow Valuation								
	Year	2022	2023	2024E	2025E	2026E	2027E	2028E
Revenue		8,773.8	10,475.2	13,094.1	16,145.0	19,696.9	23,695.3	28,031.6
% growth			19.39%	25.0%	23.3%	22.0%	20.3%	18.3%
EBIT		704.9	969.7	1,309.4	1,775.9	2,363.6	3,080.4	3,924.4
% of Sales		8.0%	9.3%	10.0%	11.0%	12.0%	13.0%	14.0%
TAX		178.6	253.2	327.4	444.0	590.9	770.1	981.1
% of EBIT		25%	26%	25%	25%	25%	25%	25%
EBIAT		526.4	716.5	982.1	1,332.0	1,772.7	2,310.3	2,943.3
D&A		395.7	427.2	554.7	700.0	873.7	1,074.8	1,299.5
% of Sales		4.5%	4.1%	4.2%	4.3%	4.4%	4.5%	4.6%
CAPEX		863.6	235.8	785.6	645.8	590.9	473.9	280.3
% of Sales		9.84%	2.25%	6.00%	4.00%	3.00%	2.00%	1.000%
NWC		1,296.7	1,822.7	1,964.1	1,937.4	1,969.7	1,895.6	2,242.5
% of Sales		14.8%	17.4%	15.0%	12.00%	10.00%	8.00%	8.00%
Change in NWC		-194.7	526.0	141.4	-26.7	32.3	-74.1	346.9
% of Sales		-2.2%	5.0%	1.1%	-0.2%	0.2%	-0.3%	1.2%
Period				1	2	3	4	5
Unlevered FCF				609.6	1,412.9	2,023.3	2,985.2	3,615.6
Discount Factor				0.8905	0.7929	0.7061	0.6288	0.5599
Present value of FCF				542.9	1,120.4	1,428.6	1,877.0	2,024.3
Terminal Value								22,420.1
Present Value of TV								12,552.8
Enterprise Value				19,545.9				
(+) Cash				99.83				
(-) Debt				16.52				
Equity Value				19,629.2				
No. Of Shares Outstanding				17.08				
(Diluted) * In Cr								
Implied Share Price				₹ 1,149.25		Upside/Downside		-13.26%
Calculation of WACC (Capital Asset Pricing Model)								
Risk Free Rate			6.50%			D/E	5.2%	
Market Rate of Return			12.00%			D/C	4.92%	
Beta			1.13			WACC	12.30%	
Cost of Equity			12.72%					
Cost of Debt			5.80%			WACC	12.30%	
Tax Rate			25%			TGR	3%	
Post Tax Cost of Debt			4.4%					

Management Overview

At Amara Raja, the Board of Directors hold a central position in the Company's leadership. They are responsible for setting the strategic direction, guiding new initiatives and overseeing the financial and operational performance. The board comprises of distinguished individuals with a wide range of expertise, ensuring a well-rounded perspective. This Includes expertise in areas such as Strategy, Finance, Technology, Sustainability, IT, Climate Change, Human Resources. These Directors take their fiduciary duties seriously, working to meet stakeholder expectations and set the overall tone for its corporate strategy. Their combined experience and knowledge contribute significantly to effective governance throughout ARE&M and its Subsidiaries.

Diversity by -

Gender



43%

Executive Directors

57%

Independent Directors

Board's Competence, Expertise and Skills



Strategy,
Governance and
Board service



Business
Understanding



Industry
and Sector
Knowledge



Finance



Technology



Human
Resources

Board Committee

Audit Committee	Nomination and Remuneration Committee	Stakeholders Relationship Committee	Risk Management Committee	Corporate Social Responsibility Committee
Chairperson – Mr. N Sri Vishnu Raju Members – ▶ Mr. T R Narayanaswamy ▶ Mr. Annush Ramasamy ▶ Ms. Bhairavi Tushar Jani 100% Independent Directors 5 Meetings in FY24 95% Average attendance of Directors	Chairperson – Mr. N Sri Vishnu Raju Members – ▶ Mr. T R Narayanaswamy ▶ Mr. Annush Ramasamy ▶ Ms. Bhairavi Tushar Jani 100% Independent Directors 2 Meetings in FY24 88% Average attendance of Directors	Chairperson – Mr. T R Narayanaswamy Members – ▶ Mr. Jayadev Galla ▶ Mr. Harshavardhana Gourineni ▶ Mr. Vikramadithya Gourineni 25% Independent Directors 2 Meetings in FY24 88% Average attendance of Directors	Chairperson – Mr. N Sri Vishnu Raju Members – ▶ Mr. T R Narayanaswamy ▶ Mr. S Vijayanand 67% Independent Directors 2 Meetings in FY24 100% Average attendance of Directors	Chairperson – Mr. Jayadev Galla Members – ▶ Mr. N Sri Vishnu Raju ▶ Mr. T R Narayanaswamy 67% Independent Directors 2 Meetings in FY24 83% Average attendance of Directors

Final Summary and Conclusion

Based on the Entire Fundamental Analysis And Valuation, I Give A **BUY** Rating to ARE&M. Considering Future Growth prospects, the stock is Fairly Valued with Robust Financials & A Competent Leadership.

